
IN THE HIGH COURT OF JUDICATURE AT BOMBAY
CIVIL APPELLATE JURISDICTION
WRIT PETITION NO. 6662 OF 2026

Meenakshisundaram Sankarnarayanan

.. Petitioner

Versus

Deputy Commissioner of Income Tax
Circle-1 & Ors

.. Respondents

Mr. Nageshwar Rao (through VC) with Radha Halbe, Advocates
for the Petitioner.

Mr. Akhileshwar Sharma, Advocates for the Respondents /
Revenue.

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CORAM: B. P. COLABAWALLA &
FARHAN P. DUBASH, JJ.
DATE: SEPTEMBER 16, 2026

P. C.

1. The above Writ Petition is filed seeking a writ, order or direction to Respondent No.1 to grant credit for taxes deducted by Respondent No.3 (the employer of the Petitioner) for the salary paid to the Petitioner. A further relief is sought seeking to quashing the impugned intimation dated 12th October 2023 passed by the Centralized Processing Center (**CPC**) as well as impugned order dated 7th October 2025 passed by the learned CIT(A) and the order dated 17th February 2026 passed by Respondent No.1 to the directions of the learned CIT(A), as being illegal and unsustainable in law.

2. The learned counsel for the Petitioner brought to our attention the order dated 17th February 2026 passed by the 1st Respondent pursuant to the directions given by the CIT(A). The aforesaid order can be found at page 59 of the paper book. The learned counsel for the Petitioner brought to our attention paragraph 4 of the said order which reads thus:-

4. *The submissions filed by the assessee have been carefully examined and duly considered. However, the same are found to be not acceptable. Reference is invited to Para 5.3 of the order dated 07.10.2025 passed by the Ld. Addl./JCIT (A), Gwalior, wherein it has been clearly observed that **"If the Form 26AS does not reflect the said TDS credit, the credit for the same may not be given."** The said direction is explicit and leaves no ambiguity regarding the allowability of TDS credit strictly on the basis of reflection in Form 26AS. In the present case, as per the reply furnished by the assessee and on verification of Form 26AS submitted, the total TDS available for credit is reflected at Rs.13,500/-. However, the assessee has claimed a total TDS of Rs.38,18,358/- in the return of income filed on 31.08.2023. Thus, there is a difference of Rs.38,04,858/- between the TDS claimed in the return of income and the TDS appearing in Form 26AS. Since the TDS credit can only be allowed to the extent reflected in Form 26AS, and in view of the specific direction of the Ld. Addl./JCIT (A), Gwalior, the assessee is eligible for TDS credit amounting to Rs.13,500/- only. The excess claim of Rs.38,04,858/- is therefore not allowable and stands disallowed. Accordingly, the total TDS credit granted to the assessee is restricted to Rs.13,500/- as appearing in Form 26AS."*

3. The learned counsel for the Petitioner pointed out that from the reproduction of the aforesaid paragraph, it is clear that credit of TDS has been denied to the Petitioner only because the same is not reflected in Form 26AS. The learned counsel submitted that this issue is now no longer *res integra* and has been decided by this Court in the case of ***Manohar Ramabtar Jhunjhunwala v/s Principal Commissioner of Income Tax-17, Mumbai & Ors [Writ Petition No.2063 of 2025 along with other Writ Petitions decided on 5th August 2026]***.

4. The learned counsel submitted that this Court in the aforesaid decision has clearly stated certain illustrations which may constitute satisfactory evidence of TDS being deducted and hence credit ought to be given. In this regard, he placed reliance on paragraph 68 of this decision which reads thus:-

“68. In salary cases, where Form 16 may not be available, the following illustrations may constitute satisfactory evidence, singly or cumulatively:

i. salary slips showing gross salary, tax deductions and net salary. The salary slips are now a days computer generated and need not contain signature and therefore, the same may not be considered as the sole reason to reject the slips;

- ii. appointment / offer letter or employment contract showing salary structure, together with bank statement showing receipt of the corresponding net amount;*
- iii. employer's payroll workings of the concerned employee, year-end tax workings by the employer of the concerned employee, email communications, internal cost-to-company break-up, and any tax computation sheet generated by the employer and shared with the employee;*
- iv. communications, if any, by the employee to the employer pointing out that tax has been deducted but not deposited or that Form 16 has not been issued or incorrectly issued."*

5. In fact, the learned counsel also pointed out paragraph 66 of this judgment which clearly states that in case where TDS credit is claimed though the amount is not reflected in Form 26AS, the claim cannot be rejected solely on that basis. The learned counsel, therefore, submitted that the directions given by the CIT(A) in his order dated 7th October 2025 directing that no TDS credit can be given because the Petitioner's Form 26AS does not reflect the deduction of the TDS is contrary to the law laid down by this Court, and which has been followed by Respondent No.1 in the order passed by him on 17th February 2026.

6. Mr. Sharma, the learned counsel appearing on behalf of the Revenue fairly stated that in light of the law laid down by this Court in

Manohar Jhunjhunwala (supra), the matter can be remanded to the 1st Respondent to conduct a fresh enquiry as to whether in fact TDS has been deducted from the salary paid to the Petitioner. Once that enquiry is done and the Assessing Officer is satisfied that in fact TDS is deducted as per the directions of this Court in *Manohar Jhunjhunwala (supra)*, necessary credit would be given to the Petitioner.

7. Considering the fair stand taken by the Revenue, and also the law laid down by this Court in *Manohar Jhunjhunwala (supra)*, we hereby set aside the impugned order dated 7th October 2025 passed by the learned CIT(A) insofar as it gives a direction to the Assessing Officer not to give credit of the TDS deducted merely because it is not reflected in the Petitioner's Form 26AS. We also set aside the order dated 17th February 2026 passed by Respondent No.1 refusing to give credit to the Petitioner of the TDS deducted because of the directions issued by the CIT(A).

8. We now direct the Assessing Officer, namely, the 1st Respondent to re-examine the documents submitted by the Petitioner to substantiate his claim that TDS has been deducted from the salary paid to him by Respondent No.3. If the Assessing Officer is satisfied with the explanations given by the Petitioner that TDS has been deducted from his salary, then naturally credit

for the same will have to be given to the Petitioner as per the directions of this Court in *Manohar Jhunjhunwala (supra)*.

9. We direct that this entire exercise shall be done by the Assessing Officer within a period of six weeks from the date of this order being brought to the notice of the Assessing Officer (1st Respondent).

10. The Writ Petition is disposed of in the aforesaid terms. However, there shall be no order as to costs.

11. Though we have disposed of the above Writ Petition, we place it on Board for reporting compliance on 4th November 2026.

12. This order will be digitally signed by the Private Secretary/ Personal Assistant of this Court. All concerned will act on production by fax or email of a digitally signed copy of this order.

[FARHAN P. DUBASH, J.]

[B. P. COLABAWALLA, J.]